

Domain II — Ethics and Professionalism

Principle 1 — Demonstrate Integrity

Editorial note: Requirements, implementation considerations, and evidence examples below are paraphrased from the supplied pages. Audit focus areas, risks, controls, procedures, red flags, and common findings are suggested practical content for the platform.

1.1 — Honesty and Professional Courage

Standards & Guidance

Requirements

Internal auditors must:

- Perform their work with honesty and professional courage.
- Be truthful, accurate, clear, open, and respectful in professional relationships and communications, including when expressing skepticism or opposing views.
- Avoid false, misleading, or deceptive statements.
- Never conceal or omit findings or other relevant information.
- Disclose known material facts that could affect the organization's ability to make informed decisions.
- Communicate honestly and take appropriate action despite pressure or difficult circumstances.

The chief audit executive must provide a supportive environment where auditors can communicate legitimate, evidence-based results, whether favorable or unfavorable.

Considerations for Implementation

- Provide ethics education and practical training on professional courage.
- Use mentoring and supervision to strengthen tactful, respectful communication.
- Discuss threats to honesty or professional courage with a supervisor.
- Include ethical dilemmas in team discussions and training.
- Use workpaper reviews, performance evaluations, and stakeholder feedback to assess and support ethical behavior.

Examples of Evidence of Conformance

- Training plans that include ethics education.
- Records of participation in ethics training.
- Performance evaluations addressing honesty and professional courage.
- Stakeholder feedback on auditors' honesty and professional courage.

Audit Focus Areas

- Accuracy and completeness of audit communications.
- Consistency between supporting evidence and reported conclusions.
- Handling of pressure to change or suppress findings.
- Management support for evidence-based reporting.
- Ethics training and performance evaluation.

Risks

Ratings are illustrative and require assessment using the organization's risk methodology.

Risk	Indicative rating
Material findings are concealed or weakened under pressure.	High
Misleading communications result in poorly informed decisions.	High
Auditors avoid raising concerns because they fear negative consequences.	High
Insufficient training leaves auditors unprepared for ethical dilemmas.	Medium

Controls

Suggested control	Type
Supervisory review of significant findings against supporting evidence before report issuance.	Preventive
Documented reasons and approvals for material changes to findings and ratings.	Preventive / Detective
Defined escalation process for pressure affecting audit results.	Preventive
Ethics training incorporating practical audit scenarios.	Preventive
Periodic review of concerns and feedback for signs of interference.	Detective

Audit Procedures

Procedure	Required evidence
Compare significant workpaper findings with final reports and investigate unexplained omissions.	Workpapers, draft and final reports
Examine material changes to findings and determine whether they are supported by evidence.	Review comments, version history, approvals
Interview auditors about pressure to alter results and the support available.	Confidential interview records
Review how reported instances of pressure were escalated and resolved.	Correspondence, escalation records, action logs

Procedure	Required evidence
Assess coverage of honesty and professional courage in training and appraisals.	Training materials, attendance records, appraisal forms

Red Flags

- Findings disappear without documented justification.
- Risk ratings are reduced without supporting evidence.
- Auditors are instructed not to document sensitive matters.
- Final conclusions contradict the workpapers.
- Auditors express fear of communicating legitimate concerns.

Common Findings — Illustrative Examples

- Material changes to findings lacked documented justification.
- No clear process existed for escalating pressure on auditors.
- Ethics training did not address practical professional dilemmas.
- Performance evaluations did not address honesty and professional courage.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 1, Standard 1.1 — Honesty and Professional Courage.

1.2 — Organization's Ethical Expectations

Standards & Guidance

Requirements

Internal auditors must:

- Understand, respect, meet, and contribute to the organization's legitimate and ethical expectations.
- Recognize conduct that conflicts with those expectations.
- Encourage and promote an ethics-based organizational culture.
- Report identified behavior that is inconsistent with ethical expectations in accordance with applicable policies and procedures.

Considerations for Implementation

- Understand the organization's code of ethics, code of conduct, and related policies.
- Consider ethics-related risks and controls in audit planning and individual engagements.

- Assess whether policies define how ethical concerns are handled, communicated, and escalated.
- The chief audit executive should establish an approach for addressing ethical issues and discuss it with the board and senior management.
- Where a senior management member has acted contrary to ethical expectations, the chief audit executive should report the violation to the board.
- Where a concern involves the board chair, the chief audit executive should report it to the entire board.
- Follow up on ethical issues involving senior management or the board and verify that appropriate action has been taken.

Examples of Evidence of Conformance

- Records of workshops, training, or meetings addressing ethical expectations.
- Signed auditor acknowledgments of organizational ethics policies.
- Audit plans, work programs, or workpapers addressing ethics-related objectives, risks, and controls.
- Documentation of ethical concerns communicated to appropriate parties in accordance with policies and relevant legal requirements.

Audit Focus Areas

- Clarity and communication of ethical expectations.
- Auditors' understanding of applicable ethics policies.
- Integration of ethics-related risks into audit work.
- Reporting and escalation of ethical concerns.
- Handling of concerns involving senior management or the board.
- Follow-up on corrective action.

Risks

Risk	Indicative rating
Ethical misconduct remains unreported or unresolved.	High
Concerns involving senior management are handled through an inappropriate reporting route.	High
Ethics-related risks are omitted from audit planning and testing.	High
Unclear ethical expectations result in inconsistent behavior.	Medium
Reported concerns recur because corrective action is not verified.	High

Controls

Suggested control	Type
Documented and communicated codes of ethics and conduct.	Preventive
Auditor acknowledgments and ethics awareness training.	Preventive
Audit planning prompts addressing relevant ethical risks and controls.	Preventive
Defined reporting and escalation routes, including concerns involving senior management or the board chair.	Preventive
Restricted-access case tracking and verification of corrective action.	Detective / Corrective

Audit Procedures

Procedure	Required evidence
Review ethics policies for clear expectations, reporting responsibilities, and escalation routes.	Codes, policies, escalation procedures
Verify that auditors receive the policies and acknowledge their responsibilities.	Communications, acknowledgments, training records
Sample audit engagements to assess whether relevant ethical risks and controls were considered.	Risk assessments, audit programs, workpapers
Sample reported ethical concerns and assess whether they reached the appropriate authority.	Case records, correspondence, relevant meeting minutes
Examine the process for concerns involving senior management or the board chair.	Escalation methodology, restricted-access case documentation
Verify that closed cases have evidence of appropriate corrective action.	Action plans, completion evidence, follow-up records

Red Flags

- Employees or auditors cannot explain how to report ethical concerns.
- Concerns involving senior personnel are repeatedly closed without a documented assessment.
- The person implicated controls the handling of the concern.
- Similar ethical issues recur despite being marked resolved.
- Relevant ethical risks are absent from audit documentation.

Common Findings — Illustrative Examples

- Ethical expectations were not adequately communicated.
- Auditors' acknowledgment of ethics policies was not documented.
- Reporting procedures did not address concerns involving senior management or the board chair.

- Audit work did not consider relevant ethics-related risks.
- Cases were closed without verification of corrective action.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 1, Standard 1.2 — Organization's Ethical Expectations.

1.3 — Legal and Ethical Behavior

Standards & Guidance

Requirements

Internal auditors must:

- Avoid participating in activities that are illegal, discredit the organization or internal audit profession, or may harm the organization or its employees.
- Understand and comply with laws and regulations relevant to the organization's industry and operating jurisdictions, including required disclosures.
- Report identified legal or regulatory violations to individuals or entities authorized to take appropriate action, as specified by applicable laws, regulations, policies, and procedures.

Considerations for Implementation

- Where organizational policies do not adequately address situations encountered by internal audit, the chief audit executive may establish a methodology for responding to legal or regulatory violations.
- This methodology may include verification that appropriate action has been taken.
- The chief audit executive should establish arrangements for supervision, conformance with the standards, and ethical professional behavior.

Examples of discreditable behavior include:

- Bullying, harassment, or discrimination.
- Lying, deception, or misrepresentation of qualifications or certification status.
- Issuing false reports or encouraging others to do so.
- Deliberately minimizing, concealing, or omitting audit findings, conclusions, or ratings.
- Overlooking illegal activities tolerated by the organization.
- Seeking or disclosing confidential information without proper authorization.
- Performing audit services while failing to disclose impairments to objectivity or independence.

- Claiming conformance with the standards without supporting evidence.
- Refusing to accept responsibility for mistakes.

Examples of Evidence of Conformance

- Training records covering relevant laws, regulations, and professional behavior.
- Auditor acknowledgments of legal and professional responsibilities.
- Documented methodologies for handling illegal or discreditable behavior and organizational violations.
- Communications with supervisors or legal counsel concerning potentially illegal or unprofessional actions.
- Evidence of supervisory review of workpapers.
- Final engagement communications, where applicable.

Audit Focus Areas

- Awareness of relevant legal and regulatory obligations.
- Ethical and professional conduct within internal audit.
- Reporting and handling of identified violations.
- Accuracy of professional qualification claims.
- Authorized handling of confidential information.
- Disclosure of impairments to objectivity or independence.
- Support for statements of conformance with the standards.

Risks

Risk	Indicative rating
Identified legal or regulatory violations are not reported appropriately.	High
Auditors participate in or overlook discreditable conduct.	High
Confidential information is obtained or disclosed without authorization.	High
Undisclosed impairments compromise audit judgments.	High
Unsupported qualification or conformance claims mislead stakeholders.	High

Controls

Suggested control	Type
Role-specific updates and training on relevant legal and professional obligations.	Preventive
Documented procedures for handling violations and obtaining legal advice when needed.	Preventive

Suggested control	Type
Qualification verification and periodic certification-status checks.	Preventive / Detective
Confidentiality and objectivity declarations, with updates when circumstances change.	Preventive / Detective
Access restrictions and authorization requirements for confidential information.	Preventive
Supervisory review of reports and evidence supporting conformance statements.	Preventive / Detective
Case tracking and follow-up on corrective actions.	Detective / Corrective

Audit Procedures

Procedure	Required evidence
Assess how auditors identify and remain informed about obligations relevant to their work.	Training records, regulatory updates, internal guidance
Review procedures for responding to violations, including reporting responsibilities and legal consultation.	Methodologies, policies, legal referral procedures
Sample identified violations and trace reporting to the appropriate authorized parties.	Case records, notifications, correspondence
Verify a sample of claimed qualifications and certification statuses using appropriate issuer evidence.	Qualification records, certification-status evidence
Review confidentiality and objectivity declarations and the handling of disclosed impairments.	Declarations, assessments, safeguards, assignment records
Test a sample of sensitive information disclosures for authorization.	Approvals, access records, disclosure logs
Examine evidence supporting statements that the audit function conforms with the standards.	Quality assessment results, supporting review documentation

Red Flags

- An auditor claims a qualification that cannot be substantiated.
- An expired or inactive certification is presented as active.
- Identified violations have no documented reporting or response.
- Sensitive information is shared without authorization.
- Relationships or responsibilities affecting objectivity are not disclosed.
- Claims of conformance lack supporting evidence.
- Known reporting errors remain uncorrected.

Common Findings — Illustrative Examples

- No documented methodology existed for responding to identified violations.
- Required reporting to authorized parties was not evidenced.
- Professional qualification records were not verified or updated.
- Impairments to objectivity were not disclosed or addressed.
- Confidential information was disclosed without appropriate authorization.
- Statements of conformance were not supported by evidence.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 1, Standard 1.3 — Legal and Ethical Behavior.

Platform note: Risk ratings and examples require adaptation to the engagement. Red flags indicate matters for further examination and do not, by themselves, establish misconduct.